

Competition – Contractor Experience

2024-06-12

- Let n_i^{task} = Number of projects of the same task held by the contractor in the three quarters before starting project i
- Let n_i = Number of projects held by the contractor in the three quarters before starting project i
- Define:
 - Inexperienced contractor $_i = 1$ if $n_i^{task} = 0$
 - New entrant $_i = 1$ if $n_i = 0$
 - Level of inexperience $_i = 1 - \frac{n_i^{task}}{n_i}$ if $n_i > 0$
 - Level of inexperience $_i = 1$ if $n_{i,k,t} = 0$.

1 Regression results

Table 1: Logit model

	IE		
	Task inexperienced	New entrant	Level of inexperience
	I	II	III
	Logit	Logit	OLS
Treat	0.407*** (0.032)	0.556*** (0.042)	0.001 (0.003)
Treat $\times$ Post	0.083*** (0.032)	0.229*** (0.041)	0.016*** (0.004)
Time FE	Yes	Yes	Yes
Task FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	182,794	189,340	192,743
Squared Correlation	0.30	0.20	0.31
Pseudo R ²	0.25	0.22	0.45
BIC	177,101.39	125,903.49	104,731.94

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

	Percentage delay rate		
	Task inexperienced	New entrant	Level of inexperience
	I	II	III
Treat	-1.007*** (0.139)	-1.006*** (0.118)	-0.188 (0.263)
IE	1.084*** (0.178)	0.873*** (0.240)	2.172*** (0.253)
Treat $\times$ IE	-0.151 (0.204)	-0.255 (0.293)	-1.063*** (0.309)
IE $\times$ Post	-0.432* (0.256)	-0.118 (0.362)	-0.771** (0.321)
Treat $\times$ Post	1.014*** (0.173)	1.085*** (0.152)	0.667** (0.319)
Treat $\times$ IE $\times$ Post	0.540* (0.310)	0.521 (0.449)	0.553 (0.403)
Time FE	Yes	Yes	Yes
Task FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	192,629	192,629	192,629
R ²	0.27	0.27	0.27
Within R ²	0.19	0.19	0.19

Clustered (Project ID) standard-errors in parentheses
*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*